The dollar should stay supported by strong US growth, high inflation and a Fed threatening to tighten before weakening next spring as inflation falls. An AI correction looms large, and what about attractive overseas growth drawing funds away from the dollar?



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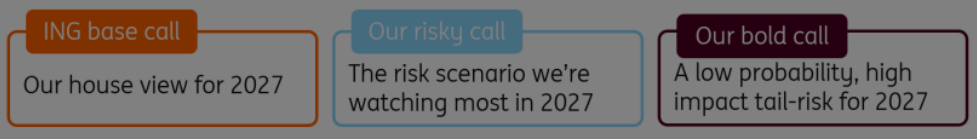
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How to read our three calls for 2027



Source: ING

ING's base call: Dollar stays supported until next spring

Our base call assumes that the Federal Reserve stays hawkish in the first quarter, as decent US growth and above-3% inflation keep money markets pricing in the threat of an extended tightening cycle. That turns in the second quarter, when energy-driven base effects drop out of headline inflation and a return to the Fed's 2% inflation target sees short-dated US rates move meaningfully lower.

That timing also suits events in Europe. French budgetary politics look set to keep a risk premium in the euro ahead of April's elections. We therefore see EUR/USD trading offered in a 1.10-15 range over the next four to five months. From the

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lower.

Our bold call: Overseas growth surprises positively

EUR/USD rallied sharply in 2017 when Dutch and French elections saw euro-sceptic parties failing to advance. Having toned down her views on France leaving the euro, a decisive victory by Marine Le Pen in April and greater budget clarity could reassure markets. If eurozone growth continues to defy energy and political headwinds,

a rotation to European assets could be the surprise package for EUR/USD.

We're also watching Japan for signs that it could follow South Korea's lead and deliver stronger growth. There, chip exports have benefited the broader economy and the Bank of Korea revised up this year's GDP forecast to 3.3%, from 1.8% at the start of 2026. Japan supplies the manufacturing equipment and materials for chip production. Broader benefits to the economy from loose fiscal policy could see upside surprises to Japanese growth, tighter Bank of Japan policy and a much weaker USD/JPY.

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